ITM MAHIDOL UNIVERSITY

Module 2

Service relationships



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Syllabus

1.4 Service relationships

- 1.4.1 Define organization, service provider, service consumer, and digital product vendor as key concepts of service relationships (3.2.1)
- 1.4.2 Define basic, cooperative, and collaborative (partnership) service relationship as key concepts of service relationships (3.2, 3.2.2)
- 1.4.3 Define the service journey as a key concept of service relationships (3.2.3)
- 1.4.4 Define sponsor, customer, and user roles as key concepts of service relationships (3.2.1.1)
- 1.4.5 Define service quality and service level as key concepts of service relationships (3.2.4)
- 1.4.6 Define Service Level Agreement (SLA) as a key concept of service relationships (3.2.5)
- 1.4.7 Understand the role of service provider, service consumer, and digital product vendor in service relationships (3.2.1)
- 1.4.8 Understand the difference between basic, cooperative, and collaborative (partnership) service relationships (3.2.3)
- 1.4.9 Explain utility, warranty, user experience, and sustainability as key concepts of service relationships (3.2.4, 3.2.4, 3.2.3, 3.2.4)



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What you will learn

By the end of this module, you will be able to:

- explain how utility, warranty, user experience, and sustainability contribute to value co-creation
- define key service relationship concepts, including service provider, service consumer, digital product vendor, service journey, service quality, service level, and Service Level Agreement (SLA)
- define basic, cooperative, and collaborative service relationships
- understand the differences between service providers, service consumers, and digital product vendors
- understand the differences between basic, cooperative, and collaborative service relationships.



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Organizations

Organization

A person or a group of people that has its own functions with responsibilities, authorities, and relationships to achieve its objectives.

Whole legal entity:
An organization may be an entire legal entity, such as a company.

Part of an entity:
It may also be part of a legal entity, such as one or several teams within a company.

Group of entities:
An organization can be a group of legal entities (a group of companies), or a mix of these variations.

Size and type:
It may be a self-employed individual, a multinational corporation, or anything in between.

In service relationships, an organization may act as a **service provider** or a **service consumer**.

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Providers, consumers, and vendors

Organizations may act as service providers, service consumers, or digital product vendors within service relationships.

Service provider
An organization responsible for delivery and support of services.



Service consumer
An organization responsible for procurement and use of services.



Digital product vendor
An organization responsible for the creation and continual improvement of digital products and related service offerings.



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Roles in managing, delivering, and consuming services

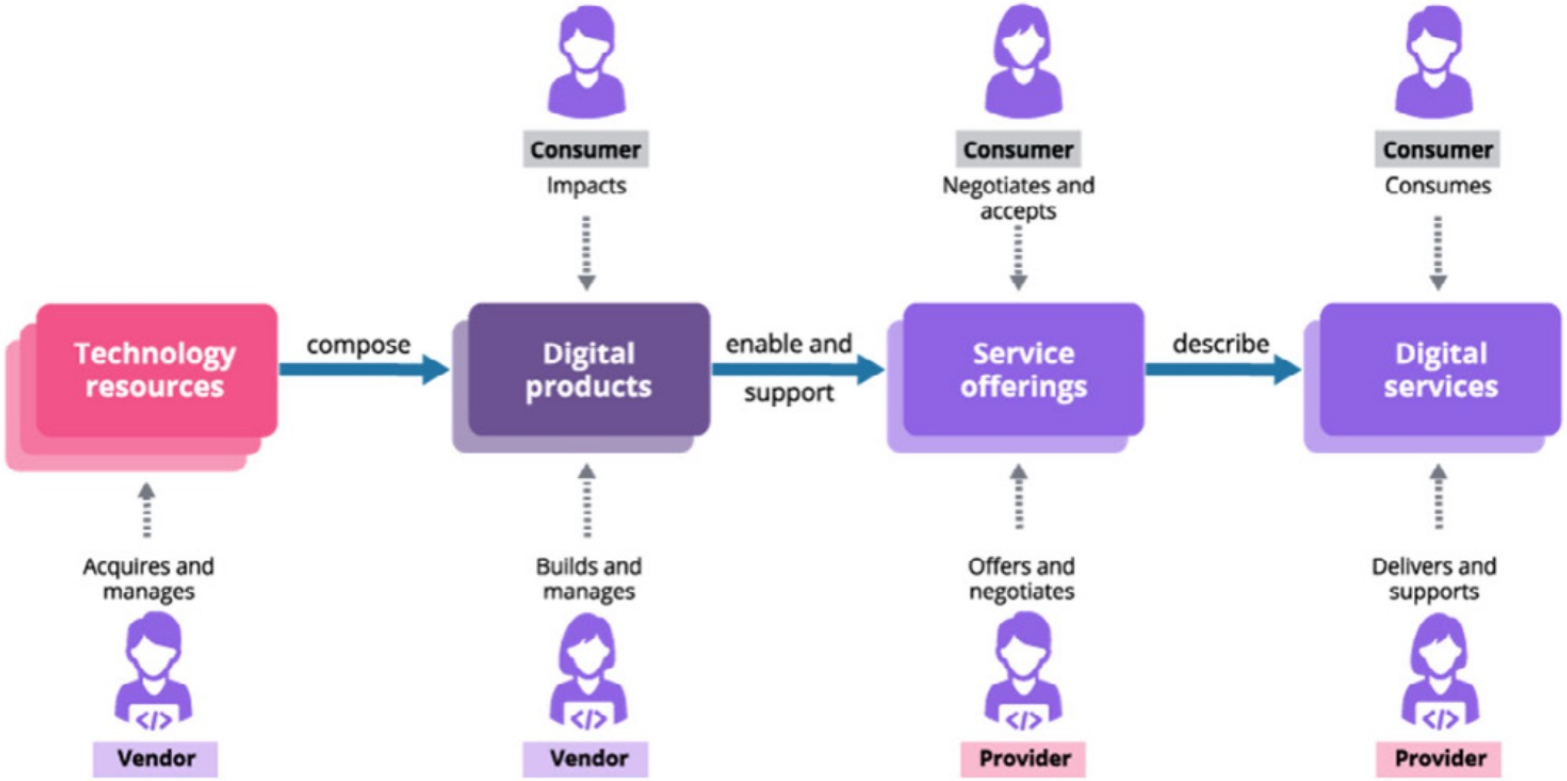


Figure 3.4 Different organizations' roles in management, delivery, and consumption of products and services

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ITIL Service relationships at ITIL Car Rental



Max: ITIL Car Rental acts as both a provider and a consumer. We deliver services to our customers, but at the same time we rely on our growing network of partnerships to make this possible. This includes charging network operators, mobile charging services, cleaning providers, and the manufacturer of our fully autonomous driverless cars.

Service consumer roles

Each of these roles may have **different**, and sometimes even conflicting, **expectations** from services and have **different definitions of value**.

Sponsor
The role that authorizes budget for service consumption.

Customer
The role that defines the requirements for products and services and takes responsibility for the outcomes of service consumption.

User
The role that uses services.



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Consumer roles example

A company acquires mobile phone services for employees. Roles are distributed as follows:

Sponsors
(CFO)

- Review arrangement
- Approve costs

Customers
(CIO and communications team)

- Analyse requirements
- Negotiate contract
- Monitor performance

Users
(Employees including CIO, CFO, team)

- Order, receive, and use services

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ITIL Car Rental | Service consumer roles



Max: At ITIL Car Rental, most of our service consumers are individuals who take on all three roles in the service relationship: sponsor, customer, and user. They decide to book a car, manage the reservation, and ride in the vehicle themselves. That is why we designed the entire journey to be as seamless as possible, from booking to drop-off.



Anna: That is true for driverless cars and car-sharing services. However, we also have contracts with organizations that use our car rental service. In those relationships, the customer role is fulfilled by the consumer organizations' procurement departments or corporate travel teams, while the actual users of our service are the employees of the consumer organizations.



Max: That is true; but who acts as a sponsor?.



Anna: In most cases, we do not know, as cost justification and fund allocation occur between the customer and the sponsor, and we are not involved.

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Consumer Roles in the Real World

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Individual Consumers (B2C)



Driverless cars and personal car-sharing.

Role Mapping: The individual takes on all three roles. They decide to book (Sponsor), manage the reservation (Customer), and ride in the vehicle (User).

Corporate Accounts (B2B)



Corporate travel contracts.

Role Mapping: Roles are split. Procurement departments or corporate travel teams act as the Customer. Employees act as the Users. The Sponsor (fund allocator) is often unseen by the provider.

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The service relationship model

Organizations engage in service relationships, forming chains and networks, where each organization acts as a service consumer for multiple providers and a service provider for multiple consumers.

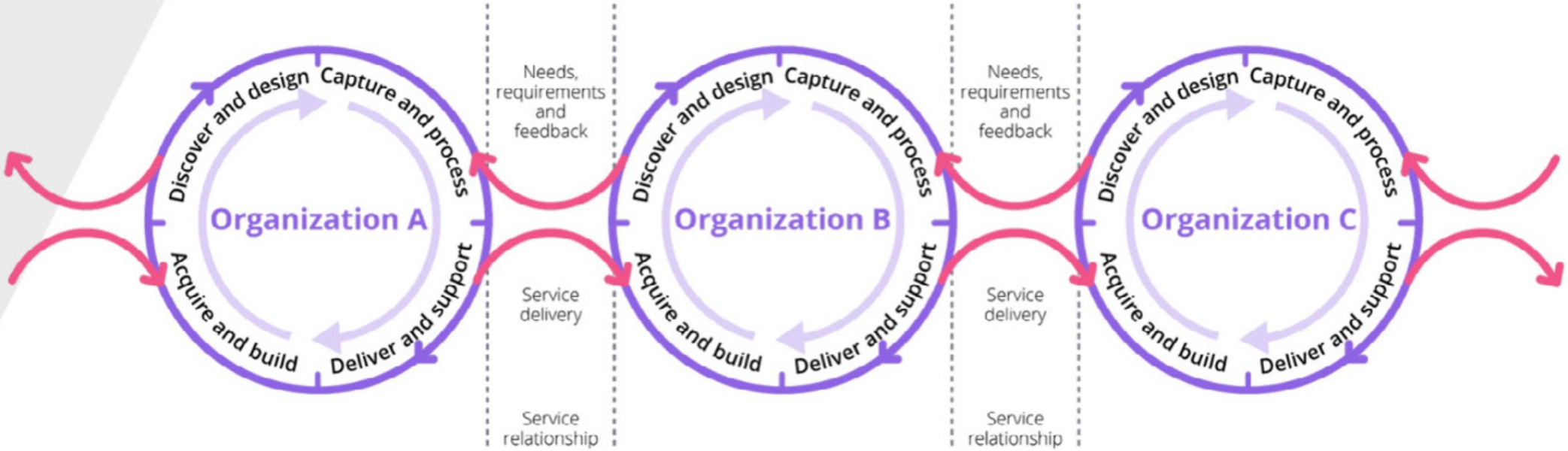


Figure 1.5 The ITIL Service Relationship Model

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Types of service relationships

Service relationships involve:

- sharing resources, data, and sometimes reputation
- engagement varies by sharing and dependency
- three types: **basic, cooperative, collaborative (partnership)**.



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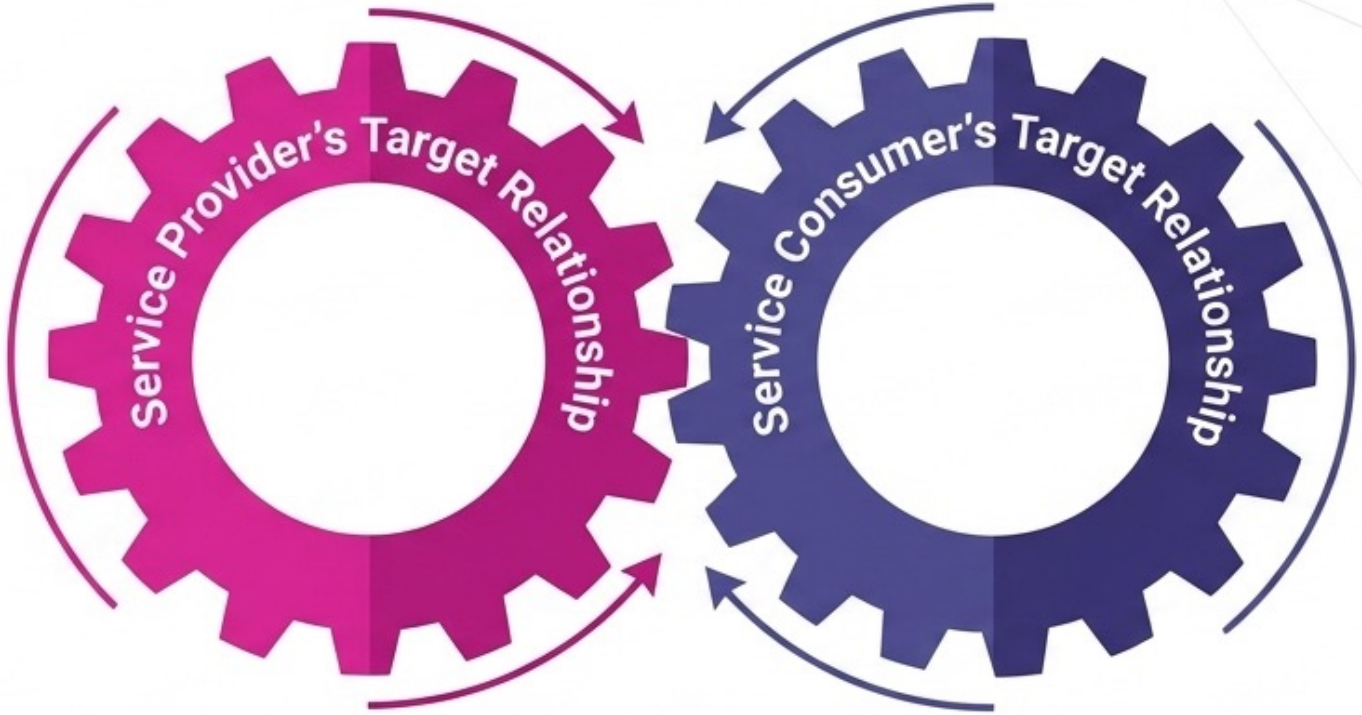
Basic, cooperative, and collaborative

Adapted from Table 3.1 Types of service relationships

	Basic relationship	Cooperative relationship	Collaborative relationship (partnership)
Typical focus	Support and efficiency	Improvement and effectiveness	Innovation and growth
Typical organizational level involved in the relationship	Operational	Operational and tactical	Operational, tactical, and strategic
Typical service types	Commercial off-the-shelf services, out-of-the-box services, highly standardized commodity services, or goods supply	Services that must be configured or customized to fulfil the needs of the service consumer	Custom or bespoke services with unique value propositions
Typical types of service agreement	Standard contracts, Service Level Agreements (SLAs), and experience-based agreements mostly for mass market	Advanced SLAs, experience-based agreements, or outcome-based agreements	Bespoke contracts, outcome-based agreements, or no formal agreement

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The Strategic Imperative of Alignment



It is critical for a successful service relationship that the service provider and the service consumer aim at the same type of service relationship. Misalignment causes misunderstanding and dissatisfaction.

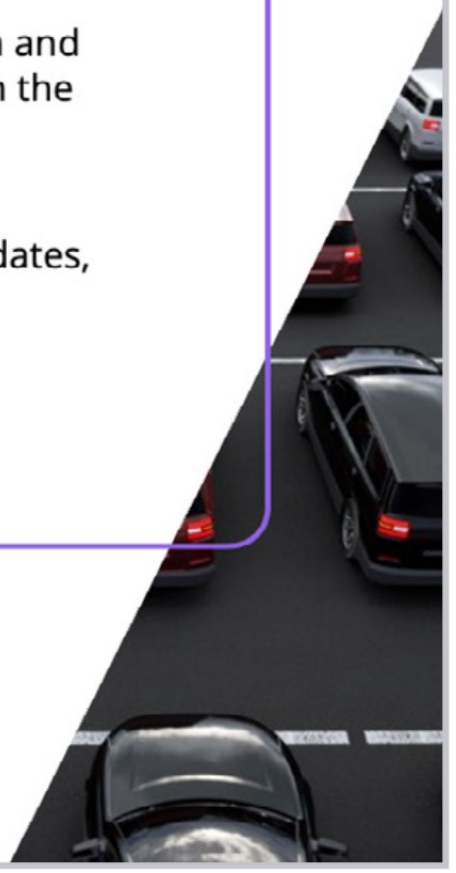
ITIL Car Rental | Types of service relationships



Max: At ITIL Car Rental, we maintain several types of relationships. With our cleaning provider, we have a cooperative relationship, working closely to coordinate cleaning schedules.

With our charging network providers, our relationship is more basic: we align on technical integration and user access, but they operate independently under a standard subscription contract. In contrast, with the manufacturer of our driverless vehicles (a strategic partner of ours), we have a fully collaborative relationship.

We have integrated their autonomous system directly into our app and we work together to plan updates, test new features, and align on user experience design.



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Service journey (1/2)

Service journey

The sum of activities and interactions performed by organizations engaged in service relationships to fulfil their roles as a service provider and a service consumer.

Band of visibility

The sum of the aspects of the service consumer organizations visible to the service provider, and the aspects of the service provider organizations visible to the service consumer.

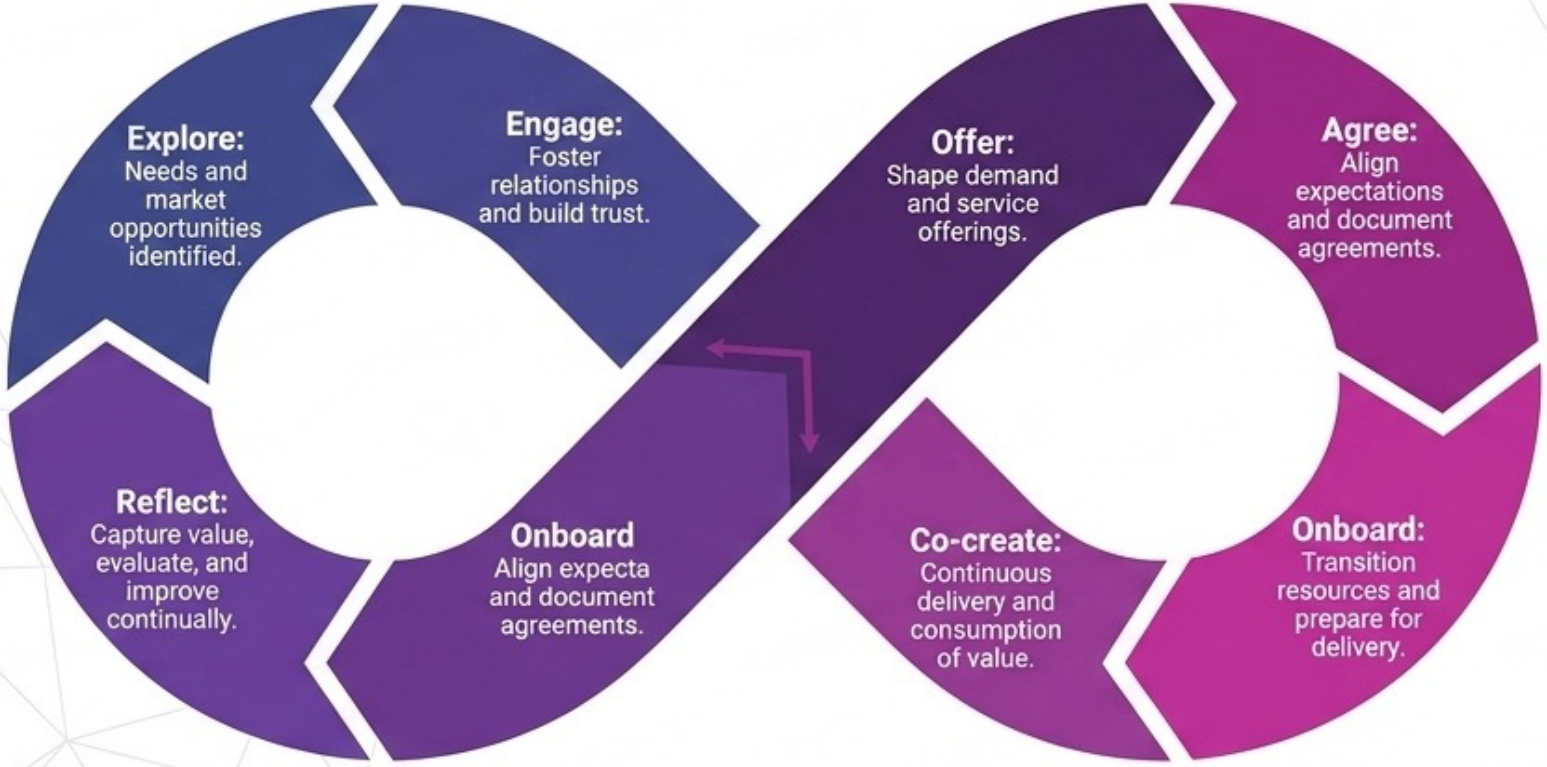
The service journey and the band of visibility are closely related but describe **different aspects** of a service relationship. The service journey focuses on **what happens** over time. In contrast, the band of visibility focuses on **what is seen**.



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The Service Journey

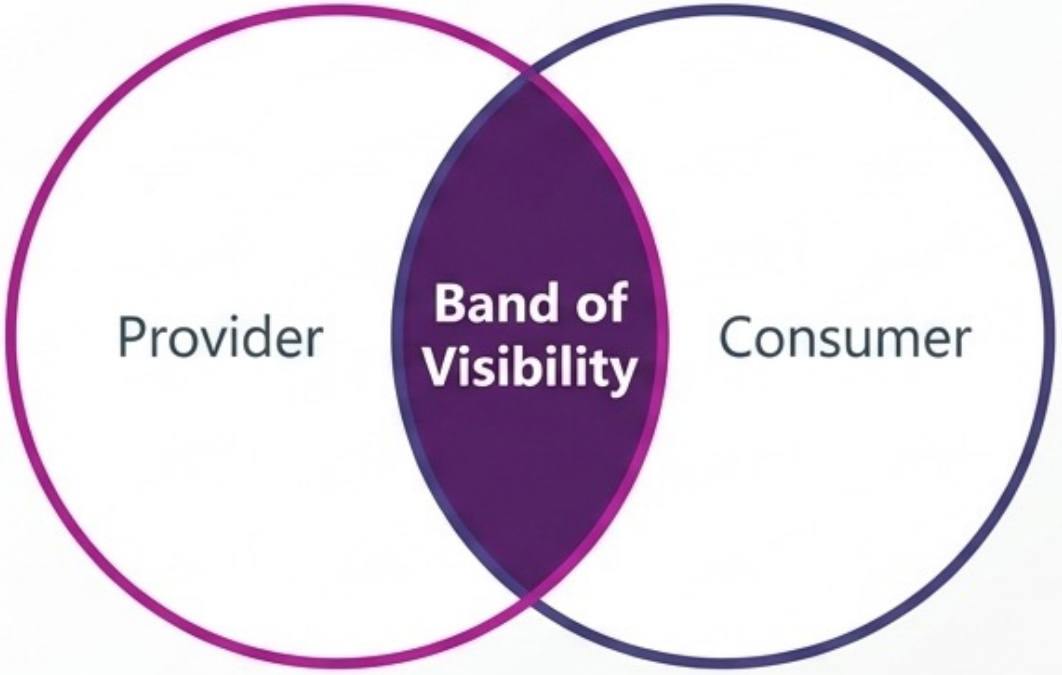
Service Journey - The sum of activities and interactions performed by organizations engaged in service relationships to fulfill their roles.



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The Band of Visibility

Band of Visibility - The sum of the aspects of the service consumer organizations visible to the service provider, and vice versa.



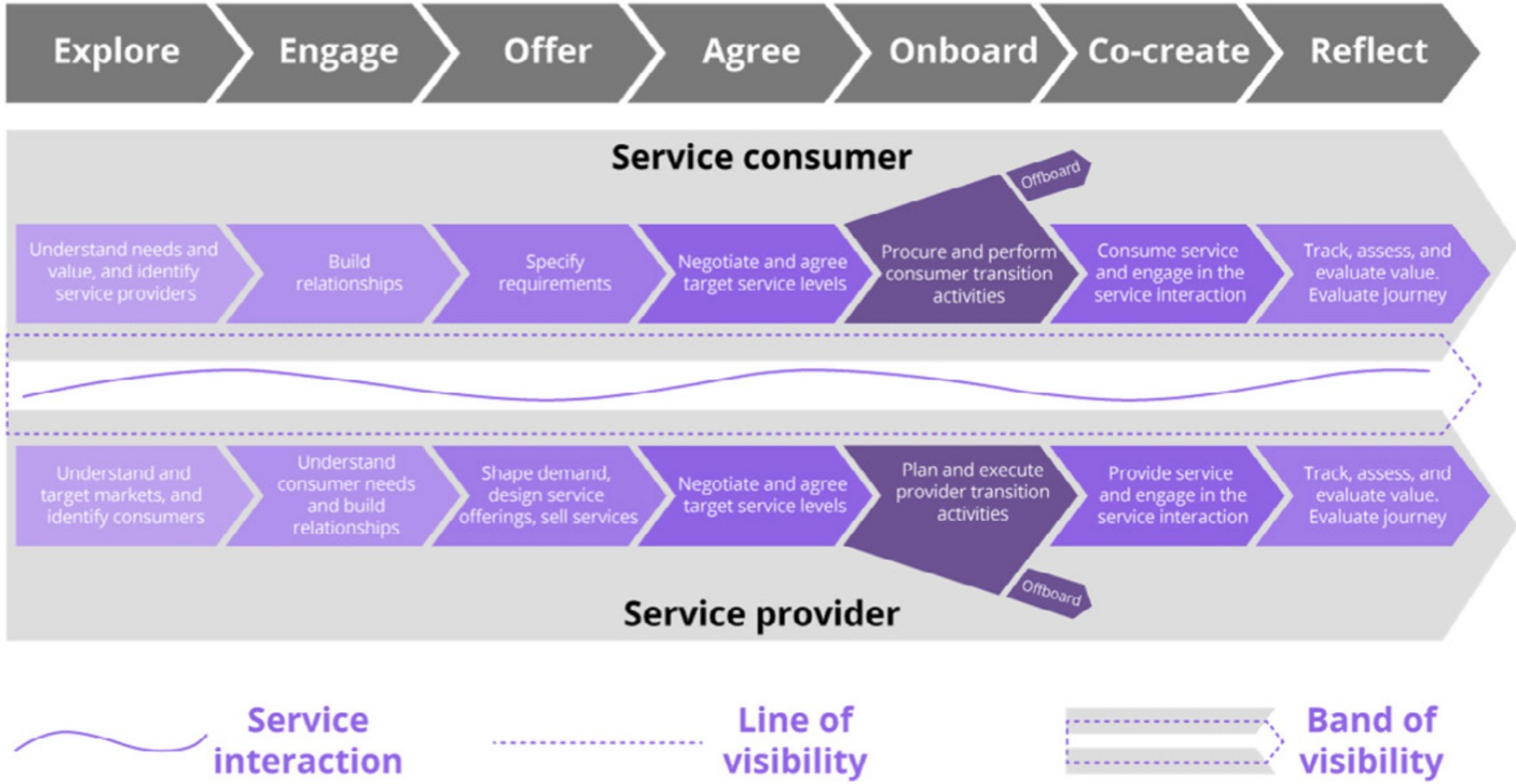
Basic Relationship =
Narrow overlap
(Low visibility)

Partnership =
Wide overlap
(High visibility into strategic context)

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Service journey (2/2)

These steps are **not** always sequential and can occur in **different order** or even **simultaneously**.



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Figure 3.5 The ITIL Service Journey Model

ITIL Car Rental | The service journey



Maria: We have mapped the full journey of our service consumers, from discovering our app, to taking their first trip, to becoming regular customers. Each step is designed for a seamless experience.



Omar: To use our driverless cars, our customers download the app, link their payment method, review the sa[redacted]k their trip. However, we monitor every behind-the-scenes interaction: vehicle availability, battery charging status, and drop-off coordination.

People view only

Defining Service Quality

Service Quality - The sum of the characteristics of a service that are relevant to its ability to satisfy stated and implied needs.



Because value co-creation relies on both provision and consumption, providers cannot guarantee outcomes alone. Instead, parties must translate expections into measurable metrics to define the formal Service Quality.

Service quality and service level

Service quality

The sum of the characteristics of a service that are relevant to its ability to satisfy stated and implied needs.

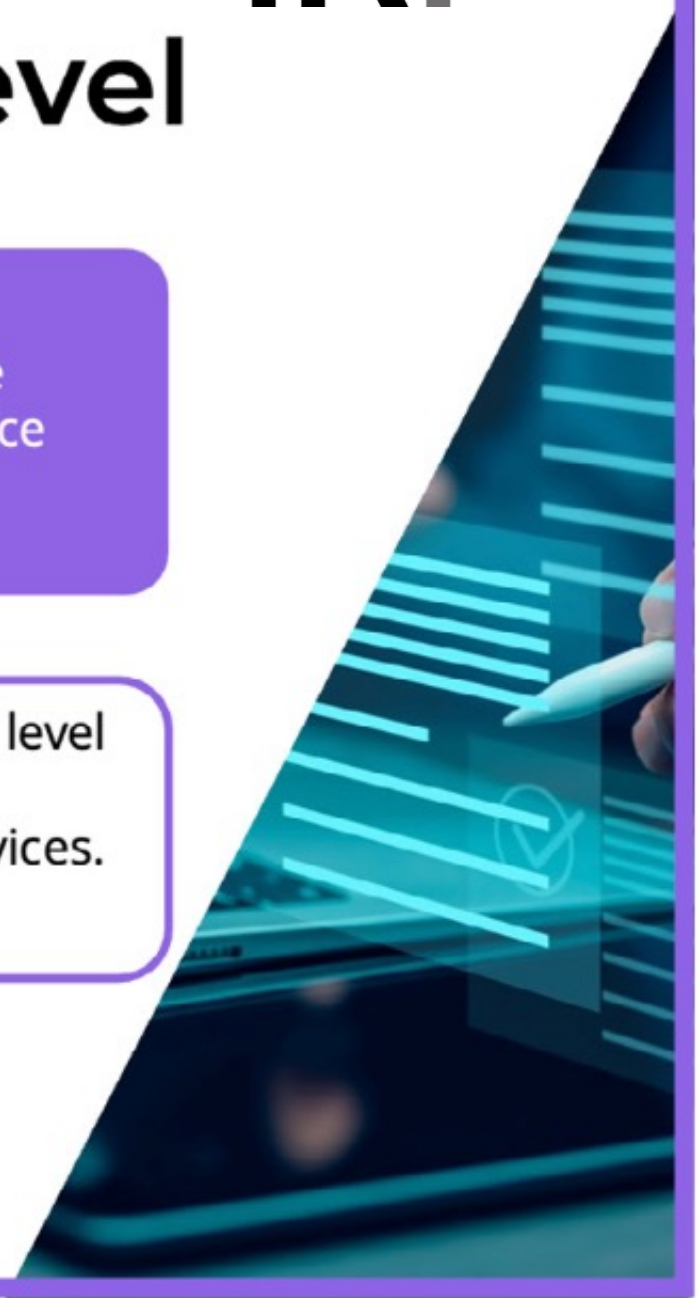
- Managed by translating expectations into metrics.
- Metrics define the service level of a service.

Service level

A set of metrics that define expected or achieved service quality.

- Four categories of service level metrics.
- All four apply to most services.
- Level of formality varies.

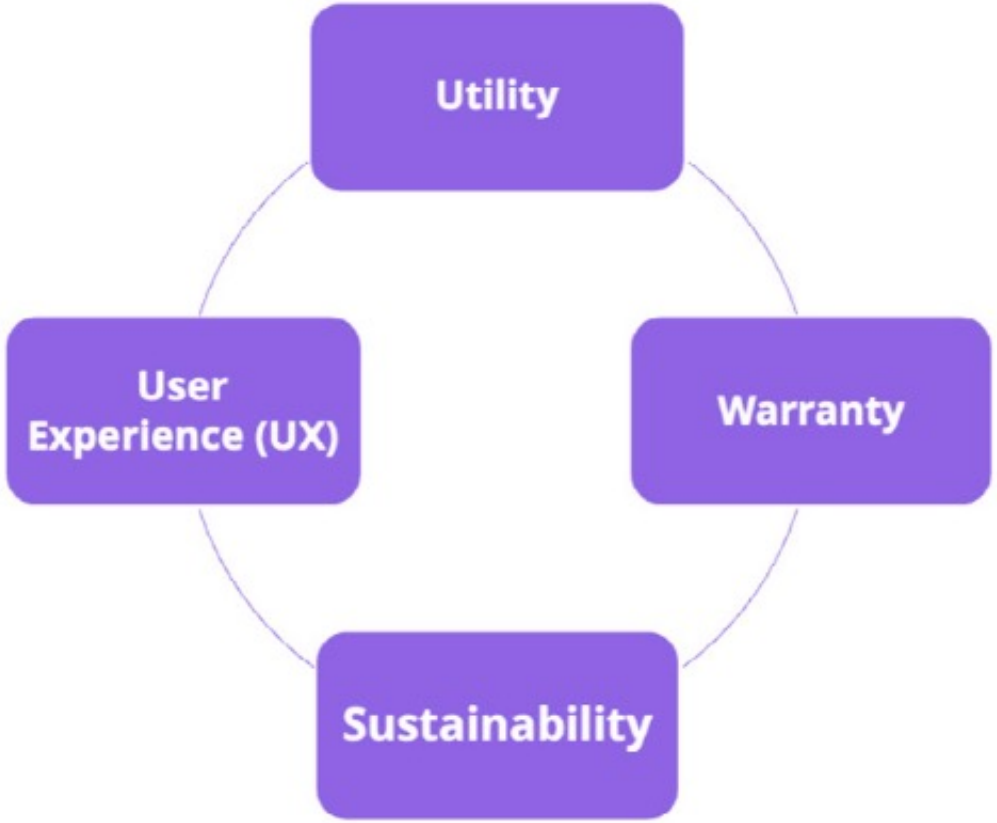
! To understand how service levels are managed, we then look at the categories of service level metrics.



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Service level metrics (1/3)

Service quality is measured through **service levels**. These service level metrics fall into four categories:





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Service level metrics (2/3)

Utility

The functionality offered by a product or service to meet a particular need. Utility can be summarized as 'what the service does' and can be used to determine whether a service is 'fit for purpose'. To have utility, a service must either support the performance of the consumer or remove constraints from the consumer. Many services do both.



Warranty

The assurance that a product or service will meet the agreed requirements. Warranty can be summarized as 'how the service performs' and can be used to determine whether a service is 'fit for use'. Warranty often relates to service levels aligned with the needs of service consumers. This may be based on a formal agreement, or it may be a marketing message or brand image. Warranty typically addresses such areas as the availability of the service, its capacity, levels of security, and continuity. A service may be said to provide acceptable assurance, or 'warranty', if all defined and agreed conditions are met.

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Service level metrics (3/3)

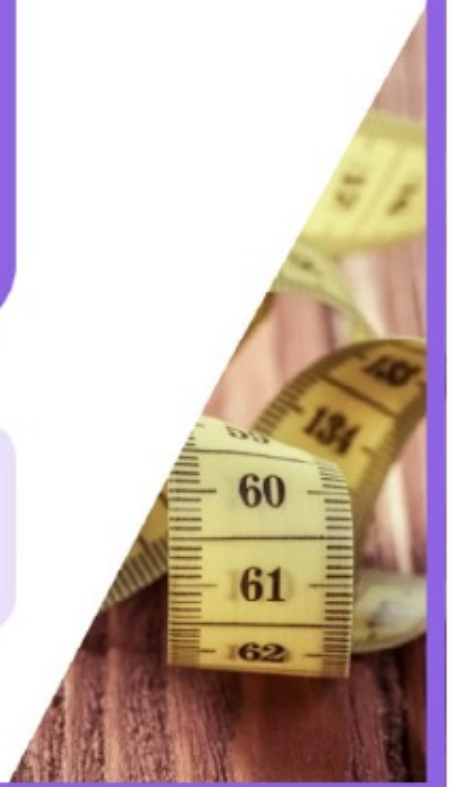
Sustainability

The assurance that a product or service meets and will continue to meet the requirements for environmental stewardship, social progress, and economic growth.

User experience (UX)

The sum of the functional and emotional interactions with a service and service provider as perceived by a service user.

Together, these four categories form a balanced view of service quality. No individual category is more important than the others, as all contribute to value and outcomes.



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Mapping CX vs. UX in the Ecosystem

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Customer Experience (CX)

Sum of functional and emotional interactions with a service and service provider as perceived by a service customer.

Shaped primarily by interactions with the provider's management system throughout the entire service journey.

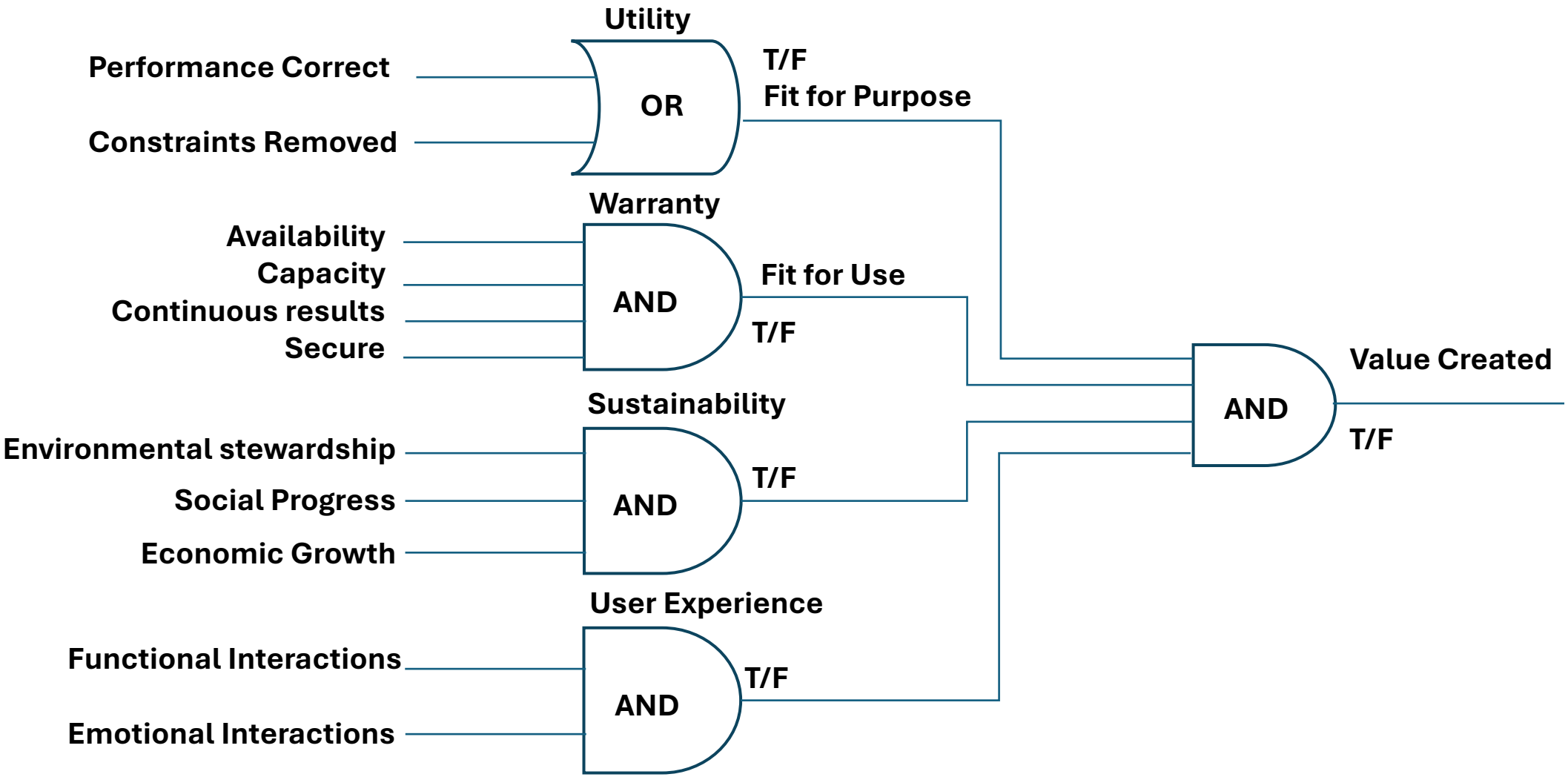
User Experience (UX)

Sum of functional and emotional interactions with a service and service provider as perceived by a service user.

Shaped by the design and performance of a digital product specifically during service consumption.

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Service level metrics



ITIL Car Rental | The service journey



Omar: We aim to ensure high availability of our apps even at the busiest times, we monitor performance of all our systems, and we are sure that we deliver high quality services. We expect our customers to be very happy.



Sam: To use our driverless cars, our customers download the app, link their We continually improve the usability and functionality of our digital products, we test them thoroughly, and optimize them for performance, reliability, and observability. I personally enjoy using our apps and believe that they are loved by our users.



Anna: Although we consistently deliver high-quality solutions, we have been receiving mixed feedback from our customers. We realized that we need to pay more attention to user experience. Measuring the technical performance of the service is not enough. Going forward, we will actively monitor and evaluate user sentiment and formal feedback, analysing these alongside technical data.

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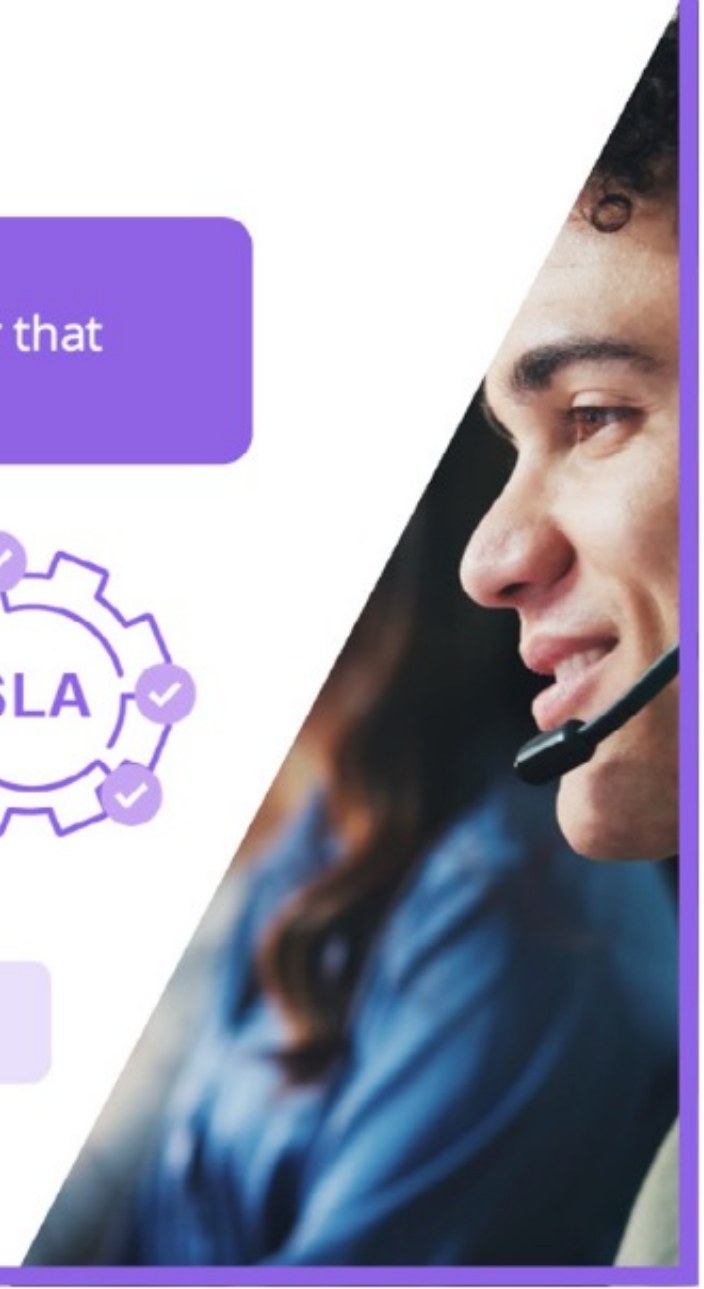
Service level agreements

Service Level Agreement (SLA)

A documented agreement between a service provider and a customer that identifies the services provided and the agreed level of each service.

- Key SLA considerations:
  - **Formality, scope,** and **customization** of SLA depend on service type and relationship.
  - Digital service SLAs should cover: **utility, warranty, sustainability.**
  - For user-facing services, include **user experience** metrics.

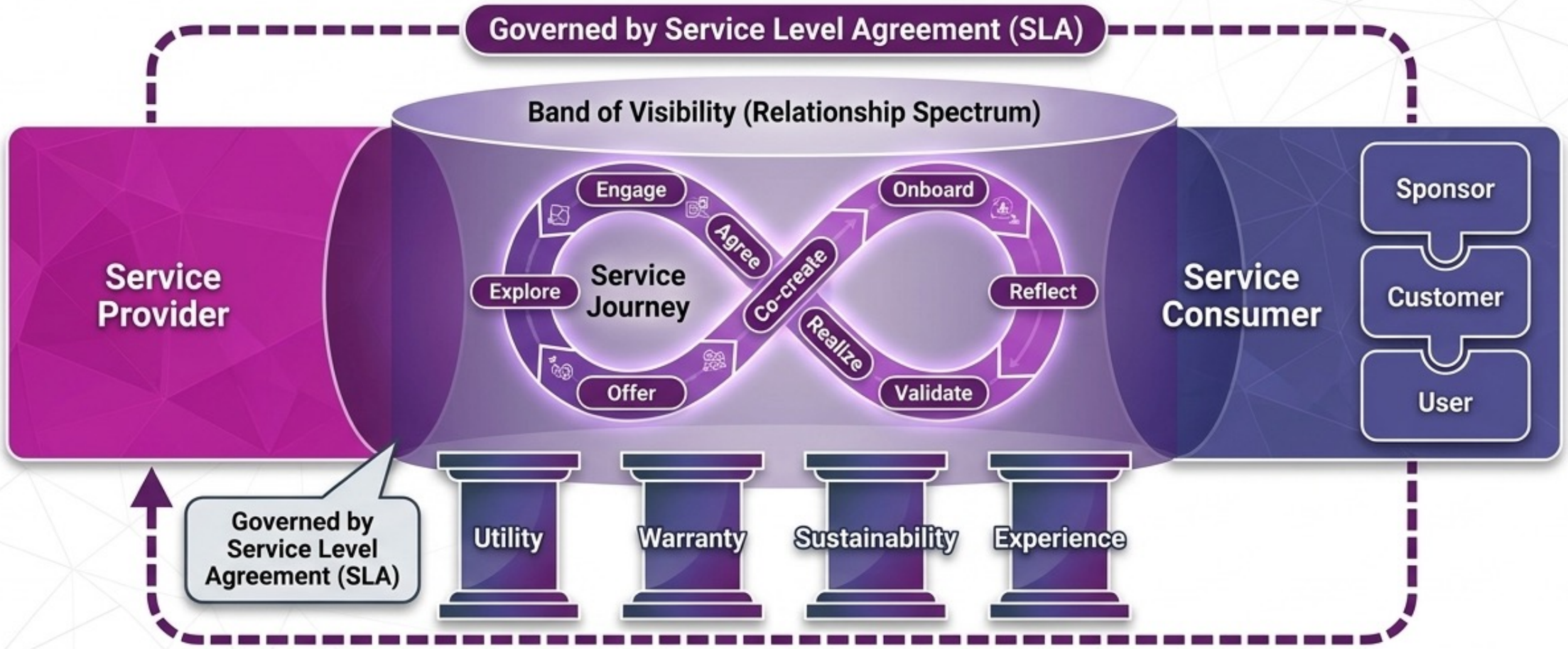




Service value = utility + warranty + sustainability + experience

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Synthesis: The Value Co-Creation Engine



Every service relationship is a dynamic, aligned system built around the shared goal of creating and delivering value.

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Recap: Key learning points

- The **purpose of service relationships** is to ensure providers and consumers work together effectively to achieve outcomes.
- Strong relationships depend on **clear roles**, **shared responsibilities**, and **trust**.
- Service quality is defined, agreed, and measured through **SLAs** and supporting **metrics**.
- Value is **co-created** through collaboration between provider and consumer, shaped by utility, warranty, experience, and sustainability.
- Service relationships **vary in type** (basic, cooperative, collaborative), each with different expectations and levels of engagement.



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Quiz

Questions:

1. A service provider commits to using recyclable components, reducing carbon emissions, and maintaining transparent supply chains.

   Which concept does this commitment represent?

   A. Utility

   B. Warranty

   C. User experience

   D. Sustainability

2. Which type of service relationship typically focuses on support and efficiency through standardized services?

   A. Basic relationship

   B. Cooperative relationship

   C. Collaborative relationship

   D. Partner relationship

3. Which role takes responsibility for the outcomes of service consumption?

   A. Organization

   B. Sponsor

   C. Customer

   D. Service provider